BOARD OF DIRECTORS

Shri.V.Lavakumar	Chairman & Managing Director
Shri.Rajendra V.Naniwadekar	Director
Shri.Brijmohan Mandala	Director

Auditors	M/s.N.Subramanian Chartered Accountant, # 81, Greems Road,Chennai-6.
Registered & Admin. Office	Old No.2, New No.3, 1st Main Road Seethammal Colony Extension, Teynampet Chennai 600 018.
Share Transfer Agency	M/s.Cameo Corporate Services Ltd., 'Subramanian Building' No.1, Club House Road, Chennai 600 002.
Listing Stock Exchanges	a)Bombay Stock Exchange Ltd P.J.Towers, Dalal Street, Mumbai-400 001. b)Madras Stock Exchange Ltd., Exchange Building, 11, Second Line Beach, Chennai 600 001.

NOTICE

Notice is hereby given that the 31st Annual General Meeting of the members KLK ELECTRICAL LIMITED will be held on Thursday the 29th of November 2012 at 11.00 A.M.at the registered office of the Company at old No.2 New No.3 1st Main Road Seethammal Colony Extension Chennai 600 018 to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet of the Company as at 31st March, 2012 and Profit and Loss Account for the year ended on that date and the Reports of Directors and Auditors thereon.

2. To appoint a Director in place of **Shri. V.Lavakumar,** who retires by rotation on that date and has indicated his inability to continue.

3. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting on a remuneration to be decided by the Board of Directors.

"RESOLVED THAT pursuant to the provisions of section 225 (1) and other applicable provisions, if any, of the Companies Act, 1956 M/s Chitta & Associates, Chartered Accountants, 304, Divya Sai Chambers,Chanda Nagar, Hyderabad-500 050 be and are hereby appointed as the Statutory Auditor of the Company in the place of retiring auditor, Mr.N.Subramanian, Chartered Accountant, Chennai to hold office from the conclusion of this annual general meeting until the conclusion of the next annual general meeting, to Audit the Annual Accounts of the Company for the financial year ending 31.03.2013 on a remuneration to be fixed by the board of directors in consultation with the proposed appointee.

SPECIAL BUSINESS:

4. To Consider and, if thought fit, to pass with or without modifications, the following resolution as an Ordinary Resolution:

"RESOLVED THAT Mr. RAJENDRA VITHAL NANIWADEKAR, who was appointed by the Board of Directors of the company as Additional director on 19.10.2011 to hold office as such upto the conclusion of the ensuing annual general meeting and in respect of whom the company has received a notice in writing from a member signifying his intention to propose the candidature of Mr. RAJENDRA VITHAL NANIWADEKAR, for the office of director, as required by section 257 of the Companies Act, 1956 be and is hereby appointed a director of the company, liable to retire by rotation."

"RESOLVED further that the Board of Directors be and is hereby authorized to take all such steps as may be necessary for the purpose of giving effect to this resolution and matters incidental thereto."

5. To Consider and, if thought fit, to pass with or without modifications, the following resolution as an Ordinary Resolution:

""RESOLVED THAT Mr. BRIJMOHAN MANDALA, who was appointed by the Board of Directors of the company as Additional director on 19.10.2011 to hold office as such upto the conclusion of the ensuing annual general meeting and in respect of whom the company has received a notice in writing from a member signifying his intention to propose the candidature of Mr. BRIJ MOHAN MANDALA, for the office of director, as required by section 257 of the Companies Act, 1956 be and is hereby appointed a director of the company, liable to retire by rotation."

"RESOLVED FURTHER that the Board of Directors be and is hereby authorised to take such steps as it may consider necessary or expedient to give effect to this Resolution."

6. To Consider and, if thought fit, to pass with or without modifications, the following resolution as an Ordinary Resolution:

"RESOLVED THAT pursuant to the provisions of section 257 and all other applicable provisions, if any of the companies Act, 1956, Mr. DATTATRAY PATIL, be and is hereby appointed a director of the company, liable to retire by rotation."

"RESOLVED further that the Board of Directors be and is hereby authorized to take all such steps as may be necessary for the purpose of giving effect to this resolution and matters incidental thereto."

7. To consider and if thought fit, to pass with or without modification, the following resolution as an Ordinary Resolution.

"RESOLVED THAT pursuant to the provisions of section 257 and all other applicable provisions, if any of the companies Act, 1956, Mr. R.RAVI KUMAR RAO, be and is hereby appointed a director of the company, liable to retire by rotation."

"RESOLVED further that the Board of Directors be and is hereby authorized to take all such steps as may be necessary for the purpose of giving effect to this resolution and matters incidental thereto."

8.To consider and if thought fit, to pass with or without modification, the following resolution as an Ordinary Resolution.

"RESOLVED THAT pursuant to the provisions of section 257 and all other applicable provisions, if any of the companies Act, 1956, Mr. G.RAGHAVULU, be and is hereby appointed a director of the company, liable to retire by rotation."

FURTHER RESOLVED THAT pursuant to the provisions of Sections 198, 269, 309, 310 and 311 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 ("Act") or any re-enactment thereof and subject to the approval of other Statutory authorities if any as may be required, Mr. R.RAVIKUMAR RAO be and is hereby appointed as the Whole Time Director of the company for a period of Five years with effect from 1.12.2012 on a remuneration of not exceeding a sum of Rs.50000 per month (including all allowances and perquisites), as may be approved by the Remuneration Committee and the Board of directors at their meetings.

Resolved further that in case of the company not attaining adequate profits or the profits are inadequate to make the payment of remuneration as above, the Board of Directors do accept to vary the terms of remuneration and perquisites with the liberty to revise the remuneration payable to Mr. R.RAVI KUMAR RAO, Executive Director in accordance with Section II of Part II of Schedule XIII to the Companies Act, 1956.

Resolved further that the Board of Directors and / or a Committee of the Board fix his salary within the scale from time to time, increasing thereby proportionately value of the benefits relating to the salary, and, with the liberty to the Board of Directors and /or a Committee of Board to alter and vary the terms and conditions of appointment and /or agreement in such manner as may be agreed to by and between the Board of Directors and the appointee within the applicable provision of the Companies Act, 1956.

"RESOLVED FURTHER THAT the information provided above and in the explanatory statement shall be treated as an Abstract under section 302 of the companies Act 1956"

Resolved further that the Board of Directors and the Company Secretary be and are hereby severally authorized to do all such acts, deeds and things and execute all such documents, instruments and writings as may be required and to delegate all or any of its power herein conferred to any committee of directors or director(s).

By order of the Board

For KLK Electrical Ltd.
(Sd/-) V.Lavakumar
Chairman

Place : Chennai
Date : 03-11-2012

NOTES

1. A Member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a member of the Company. Proxies in order to be effective must be received by the Company not less than forty eight hours before the commencement of the meeting. Form of proxy is enclosed.

2. The Explanatory Statement pursuant to section 173 of the Companies Act, 1956 is given below and forms part of the Notice.

3. Since the Company is yet to declare any dividend, disclosure regarding status of unclaimed dividend undersection 205A of the Companies Act, 1956 does not arise.

4. The Register of Members and Share Transfer Books of the Company will remain closed from 28th November, 2012 to 29th November, 2012 (both days inclusive) in connection with the Annual General Meeting.

5. Shareholders are requested to bring their copy of Annual Report to the meeting.

6. Members/ Proxies should bring the attendance slips filled in for attending the meeting.

7. Members are requested to notify immediately any change in their address (with Pin-Code), if any, quoting their registered folio numbers to the Registrar and Transfer Agent M/s. Cameo Corporate Services Limited, "Subramanian Building", 1, Club House Road, Chennai - 600 002.

8. Members seeking any information with regard to Accounts are requested to write to the Company at an early date so as to enable the management to keep the information ready.

9. Members are requested to quote their folio number and name in all correspondence with the Company.

10. Corporate members intending to send their authorised representatives are requested to send a duly certified copy of the Board resolution authorizing their representatives to attend and vote at the Annual General Meeting.

EXPLANATORY STATEMENT

(Pursuant to Section 173(2) of the Companies Act, 1956)

ITEM NO. 4:

Mr. RAJENDRA VITHAL NANIWADEKAR, was appointed by the Board of Directors of the company as Additional director on 19.10.2011 to hold office as such upto the conclusion of the ensuing annual general meeting. The company has received a notice in writing from a member proposing his appointment.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr.Rajendra Naniwadekar.

ITEM NO. 5:

Mr. Brij Mohan Mandala, was appointed by the Board of Directors of the company as Additional director on 19.10.2011 to hold office as such upto the conclusion of the ensuing annual general meeting. The company has received a notice in writing from a member proposing his appointment.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr.Brij Mohan Mandala.

ITEM NO. 6:

The company has received a notice in writing from a member proposing the name of Mr.Dattaray Patil for appointment as a Director of the Company liable to retire by rotation.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr. Dattatray Patil

ITEM NO. 7:

The company has received a notice in writing from a member proposing the name of Mr.R.Ravi Kumar Rao for appointment as a Director of the Company liable to retire by rotation.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr. R.Ravi Kumar Rao.

ITEM NO. 8:

The company has received a notice in writing from a member proposing the name of Mr.G.Raghavulu for appointment as a Director of the Company liable to retire by rotation.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr.G.Raghavulu .

By order of the Board,

for KLK Electrical Ltd.
(V. Lavakumar)
Chairman

Place : Chennai
Date : 03-11-2012

DIRECTOR'S REPORT TO THE MEMBERS

Dear Members,

Your Directors have pleasure in presenting the 31st Annual Report of the Company with audited accounts for the year ended 31st March, 2012.

FINANCIAL RESULTS.

Particulars	31.03.2012 (Rs. In Lakhs)	31.03.2011 (Rs. In Lakhs)
Sales	34.95	24.09
Other Income	Nil	Nil
Profit/ (Loss) Before Dep. & Tax	(18.81)	(9.71)
Depreciation	Nil	0.25
Profit/ (Loss) After depreciation	(18.81)	(9.96)
Provision for Taxation	Nil	Nil
Profit/(Loss) after tax	(18.81)	(9.96)
Add: Balance of Loss B/F	(76.86)	(66.90)
(Loss) BalanceC/F to next year	(95.67)	(76.86)

OPERATIONS:

The Company achieved turnover of Rs.34.95 Lakhs (Previous Year Rs. 25.28 Lakhs). During the year 2011-12, the Company had allotted 14,00,000 equity shares of the company on preferential basis to publicat a premium Your Directors are hopeful that the activities of the Company would improve during the Current financial year.

DEPOSITS:

The Company has not invited / received any fixed deposits during the year under review as per section 58A of the Companies Act, 1956 read with Companies (Acceptance of Deposits) Rules, 1975.

DIVIDEND:

Your directors have not recommended any dividend for the financial year ended 31st March, 2012 to the members due to Loss.

DIRECTORS:

On October 31, 2011, Mr. Brijmohan Mandala and Mr. Rajendra V. Naniwadekar were appointed as additional directors of the company and they hold office till the ensuing annual general meeting of the company. Both Mr. Brij Mohan Mandala and Mr. Rajendra V.Naniwadekar are eligible for appointment as directors of the of the company. On 14-08-12 Mr. J.M. Menezes resigned as a director of the of the company. On 03-11-12, Mr. John Thangasamy resigned as a director of the of the company. The Board placed on the record the valuable services rendered by Mr. J.M. Menezes and Mr. John Thangasamy during their tenure as directors of the company. Mr. V.Lavakumar retires by rotation at the end of this AGM and has expressed his inability to continue. The Board places on record its appreciation for the valuable services rendered by Mr.Lavakumar.

AUDITORS:

M/s. N. SUBRAMANIAN, Chartered Accountants, Chennai retire as Auditors of the Company at the conclusion of the ensuing Annual General Meeting and has expressed his inability to continue. Hence it is proposed that M/s.Chitta Associates,Chartered Accountants be appointed as the auditor's of the company until the conclusion of the next AGM.

AUDITORS REPORT:

The observations made by the auditors in their report and notes to the accounts are self-explanatory.

LISTING STATUS:

The Company's Shares are listed both in Madras and Bombay Stock Exchanges at present. Listing fees have been paid for the financial year.

CORPORATE GOVERNANCE:

Pursuant to the circular of Securities and Exchange Board of India, the Stock Exchanges have incorporated a Clause 49 in the Listing Agreement on Corporate Governance with regard to the composition of Board of Directors, Audit Committee, Remuneration of Directors, Board meeting procedures, Management, discussions and analysis about the business, redressal of shareholders' grievances and their services. According to the schedule of implementation forwarded by these Stock Exchanges, the Companies whose paid-up capital is Rs.3 Crores and above is advised to comply with the Clause 49 of the Listing Agreement. Since the capital of your Company is less than Rs.3 Crores, compliance of the Clause 49 of the Listing Agreement does not arise.

INFORMATION UNDER SECTION 217(1)(E) OF THE COMPANIES ACT, 1956 READ WITH COMPANIES (DISCLOSURES OF PARTICULARS IN THE REPORT OF BOARD OF DIRECTORS) RULES AND FORMING PART OF DIRECTORS REPORT.

1). CONSERVATION OF ENERGY:

The company has no activity relating to Conservation of Energy, during the year.

2). TECHNOLOGY ABSORPTION:

The Company has entered into Technical collaboration with M/s. Elin Union, Austria.

a) Technology imported: Load Break Switch and off load isolators.
b) Year of Import: Agreement 1984 extended for a further period of six years from 1999.
c) Has the technology been fully absorbed: Yes

3). FOREIGN EXCHANGE EARNINGS AND OUTGO:

The Company did not have any foreign exchange or outgo during the year.

DIRECTORS' RESPONSIBILITY STATEMENT:

In terms of provisions of Section 217(2AA) of the Companies Act, 1956 the Directors confirm,

1. That in the preparation of the Annual accounts, for the financial year ended 31st March, 2010 the applicable accounting standards had been followed along with proper explanations relating to material departures.

2. That the Directors had selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit of the Company for that period.

3. That the Directors had taken proper and sufficient care for the maintenance of adequate accounting records, in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities; and

4. That the Directors had prepared the annual accounts on a going concern basis.

4. That the Directors had prepared the annual accounts on a going concern basis.

COMPLIANCE CERTIFICATE:

Compliance Certificate as required under provision to Sub-section (1) of Section 383A of Companies Act, 1956 is annexed hereto.

PERSONNEL:

Particulars of Employees pursuant to Section 217(2A) of the Companies Act, 1956 are not applicable since none of the employees are in receipt of remuneration in excess of the limits specified herein during the period under review.

ACKNOWLEDGEMENTS:

Your Directors would like to express their greatful appreciation for the assistance and continued co-operation extended by the Banks, Government Authorities and Clients during the period under review. Your Directors wish to place on record their deep sense of appreciation for the devotion and sense of commitment shown by the employees at all the level and acknowledge their contribution for its success

For and on behalf of the Board,

Place:Chennai	**(Rajendra V.Naniwadekar)**	**(V.Lavakumar)**
Date :03-11-12	**DIRECTOR**	**CHAIRMAN**

COMPLIANCE CERTIFICATE

Registration No. 18- 008230 Authorised Capital: Rs. 50,000,000/-

To,
The Members,
M/s. KLK ELECTRICAL LIMITED,
Old No.2,New No.3, 1st Main road
Seethammal Colony,Teynampet Chennai-600 018

We have examined the registers, records, books and papers of **M/s. KLK ELECTRICAL LIMITED,** having Registered office at old No.2,new No.3, 1st Main Road, Seethammal Colony, Teynampet, CHENNAI - 600 018, as required to be maintained under the Companies Act, 1956, (the Act) and the rules made thereunder and also the provisions contained in the Memorandum and Articles of Association of the Company for the financial year ended on **31st March, 2012**. It is the responsibility of the Company to prepare and maintain the relevant necessary records under the Companies Act, 1956 and other applicable laws. Our responsibility is to carry out an examination, on the basis of our professional judgement so as to award a reasonable assurance of the correctness and completeness of the records for the purpose of this certificate. In our opinion and to the best of our information and explanations furnished to us by the Company, its officers and agents, We certify that in respect of the aforesaid financial year:

1.The Company has kept and maintained all registers as stated in Annexure 'A' to this Certificate, as per the provisions of the Act and the rules made thereunder and all entries therein have been duly recorded.

2.The Company has duly filed the forms and returns as stated in Annexure 'B' to his Certificate, with the Registrar of Companies,Tamilnadu, at the datesspecified therein.

3.The Company being a Public Limited Company, the applicability Section3(1)(iii) does not arise

4. The Board of Directors met **7 (Seven)** times **10.06.2011, 30.07.2011, 02.09.2011, 19.10.2011, 31.10.2011, 15.11.2011** and **14.02.2012** in respect of which meetings theproceedings were properly recorded in the Minutes Book maintained for tthe purpose. The Company has not passed any resolution by circulation.

5. The Company has closed its Register of Members and Share Transfer Books from 26-09-11 to 29-09-2011 (both inclusive) and necessary Compliance of section 154 of the Act has been made..

6.The Annual General Meeting for the financial year ended on 31-03-11 was held on 29-09-2011 after giving due notice to the members of the Company and the resolutions passed thereat were duly recorded in the Minutes Book maintained for the purpose.

7. No Extra-ordinary General Meeting was held during the financial year ended 31-03-12

8. As per the informationand declaration given by the management the Company has not advanced any loans to its director's or persons or firms or Companies referred in the Section 295 of the Act during the financial year.

9. According to the information, explanation and declarations furnished by the management, the Company had not entered into any transactions pursuant to the provisions of Section 297 of the Act,hence the question of obtaining approval under section 297 of the act does not arise.

10. The Company has made necessary entries in the register maintained undersection 301 of the Act.

11. According to the information,explanations,and declaration furnished by the management there was no instance falling within the purview of Section 314 of the Companies Act1956,and hence the Company has not required to obtain any approval from the Board of Directors, Members or Central Government during the financial year under review

12. The Board of Directors had not recived any request for issue of duplicate share certificates during the financial year under review.

13. The Company during the financial year under review had:

(i) Delivered all the share certificates on allotment of 1400000 equity shares and on lodgement thereof for transfer of shares and not received any request for transmission of securities.

(ii) Not declared any dividend during the financial year under review and hence the question of opening a separate Bank Account within the stipulated period does not arise.

(iii). Not declared any dividnd/interim dividend during the financial year and hence the question of payment/posting of dividend warrents within the stipulated time and transfer of unpaid/unclaimed dividend to unclaimed dividend account of the Company doea not arisse.

(iv) No unpaid dividend, application money due for refund, matured deposits, matured debentures and the interest accrued thereon, which have remained unclaimed/unpaid for a period of seven years, to be transferred to Investor Education and Protection Fund.

(v). Generally complied with the requirements of Section 217 of the Act.

14. The Board of Directors of the company is generally well constituted and the company has complied with the provision of the Act in respect of appointment of additional directors and cessation of director by filing necessary forms with Registrar of Companies. There was no appointment of director, alternate directors or director to fill casual vacancy during the financial year under review.

15.The Company has not appointed any Managing Director/Whole-Time Director/Manager during the financial year under review.

16.The Company has not appointed any sole selling agents during the financial year under review.

17. The Company had no transaction, which necessitated the Company to seek any approval from the Company Law Board, Regional Director,

Registrar of Companies, Central Government or such authorities during the financial year under review.

18.The Directors have disclosed their interest in other firms /companies to the Board of Directors pursuant to the provisions of the Act and the rules made thereunder.

19. The company had issued 1400000 equity shares on preferential basis and complied by filing the necessary forms with the Registrar of Companies during the financial year under review.

20.The Company has not bought back any shares during the financial year.

21.The company had not issued any redeemable preference Shares/debentures; and hence the question of redeeming any preference shares/debentures does not arise.

22.The Company had not kept in abeyance rights to dividend, rights shares, and bonus shares pending registration of transfer of shares during the financial year under review.

23.According to the information and explanations given by the management, the company had not accepted any deposits from the public and outsiders except the unsecured loan borrowed from Directors which in the opinion of the management are not deposits and hence the question of compliance with the provision of sections 58A and 58AA read with Companies (Acceptance and Deposit) Rules, 1975 does not arise.

24. The amount borrowed by the Company from the directors during the financial year is within the borrowing limits of the Company as fixed by the board of directors of the company. Since the amount borrowed by the company is within the limits laid down under section 293(1) (d), of the Act the compliance with the provision of said section does not arise.

25. According to the information, explanations and declaration furnished by the management, the company had not made any loans/ given guarantees or provided securities to other bodies corporate except the investment made by way of share application money in body corporate during the year under review. Hence compliance with the provision of section 372A does not arise.

26.The Company has not altered the provisions of the Memorandum with respect to situation of the Company's registered office from one state to another during the fincial year under review.

27.The Company has not altered the provisions of the Memorandum with respect to the objects of the Company during the year under scrutiny.

28.The Company has not altered the provisions of the Memorandum with respect to name of the Company during the year under scrutiny.

29.The Company has altered the provisions of the Memorandum with respect to share capital of the Company and complied by filing the necessary forms with the Registrar of Companies.

30.The company had altered its articles of association during the financial year under review and after obtaining approval of members in the general meeting held on 29.09.2011 and the amendments to the articles of association have been duly registered with the Registrar of Companies

31. According to the information, explanations and declaration furnished by the management, no prosecution has been initiated against the Company or no show cause notices has been received by the company for any alleged offences under the Act and hence the question of fine or penalties does not arise.

32.The Company has not received any money as security from its employees during the financial year under review. Hence the applicability of the provisions of section 417(1) of the Act does not arise.

33. According to the information and explanations, declaration given by the management, the provisions of Employee Provident Fund does not apply to the Company. Hence compliance with the Provisions relating to deposit of both employers and employees contribution to the Provident Fund with prescribed authorities pursuant to the provisions of section 418 of the companies Act.

Chennai

Date: 03-11-12

Sd/-
Lakshmi Subramanian
Name of the Company Secretary
C.P. No. 1087

ANNEXURE 'A'

Registers as maintained by the Company

1. Register of Members u/s 150 of the Companies Act, 1956 computerised.
2. Register of Directors u/s 303 of the Companies Act, 1956
3. Register of Directors Shareholdings u/s 307 of the Companies Act, 1956 computerised.
4. Register of Contracts, Companies and Firms in which Directors of the Company are interested u/s 299, 301 and 301(3) of the Companies Act, 1956
5. Minutes of the Annual General Meeting/Extra Ordinary General Meeting & Board Meetings u/s 193 of the Companies Act, 1956

ANNEXURE 'B'

Forms and returns as filed by the Company with the Registrar of Companies, during the financial year ended **31st March, 2012.**

Forms	Date of Event	Date of filing	Due Date	Remarks
Form 23 AC/ACA	29.09.2011	09.12.2011	31.12.2011	In time
Form 20B	29.09.2011	12.12.2011	28.11.2011	Belated
Form 66	29.09.2011	18.10.2011	29.10.2011	In time
Form 66 Revised	29.09.2011	08.12.2011	29.10.2011	Belated
Form 32	19.10.2011	20.10.2011	19.11.2011	In time
Form 23	29.09.2011	28.10.2011	29.10.2011	In time
Form 5	29.09.2011	28.10.2011	29.10.2011	In time
Form 2	31.10.2011	02.11.2011	30.11.2011	In time

N.Subramanian,B.Sc.,F.C.A.,A.C.S.

M.N.O Complex,
81,Greams Road,
Chennai-600 006.

AUDIT REPORT TO THE MEMBERS OF KLK ELECTRICAL LIMITED

Ladies & Gentlemen,

I I have audited the attached Balance Sheet of M/s. **KLK ELECTRICAL LIMITED, CHENNAI**, as at March 31, 2012 and also the Profit and Loss Account and Cash flow Statement for the year ended on that date annexed thereto all of which I have signed under reference to this report. These financial statements are the responsibility of the Company's management . my responsibility is to express an opinion on these financial statements based on my audit.

II I conducted my audit in accordance with the auditing statement standards generally accepted in India. Those Standards require that I plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. I believe that my audit provides a reasonable basis for my opinion.

III As required by the Companies (Auditors' Report) Order, 2003 issued by the Central Government of India in terms of Sub-Section (4A) of Section 227 of the Companies Act, 1956, I give below, a statement on the matters specified in paragraph 4 & 5 of the said Order.

1.The Company has maintained proper records showing full particulars including quantitative details and the situation of its fixed assets. There are no tangible fixed assets in the company physical verification at the year-end of the same does not arise..

2.(a) During the year there was no inventory at the year-end and hence the physical verification of inventory is not applicable.

(b) On the basis of my examination of the records of inventory, I am of the opinion that the company is maintaining proper records of inventory. The discrepancies if any, noticed on verification of physical stocks and the book record does not arise.

3.(a) The company had not granted any loan, secured or unsecured, to other companies, firms or persons covered in the register maintained under section 301 of the Companies Act, 1956.

(b) The company had taken interest free unsecured loan from three parties listed in the register maintained u/s.301 of the Act. The maximum amount due during the year was Rs.4,241,135/- and the balance outstanding as at the end of the financial year is Rs.15,000/-

(c) No interest is payable on such loans taken from them and the other terms and conditions with regard to repayment are, in my opinion prima facie, not prejudicial to the interest of the Company.

4.In my opinion and according to the information and explanation given to me, there are adequate internal control procedures commensurate with the size of the company and the nature of its business with regard to purchases of inventory and with regard to the sale of goods. During the course of my audit, no major weakness has been noticed in the internal controls.

5.Based on the audit procedures applied by me and according to the information and explanations provided by the management, I am of the opinion that the transactions that need to be entered into the register maintained under section 301 have been so entered.

6 In my opinion and according to the information and explanations given to me, that there are no transactions made in pursuance of contracts or arrangements, entered in the registers maintained under section 301 and exceeding the value of 5 Lakh rupees during the year.

7.In my opinion and according to the information and explanations given to me, the company has not accepted deposits from public under sections 58A and 58AA of the Companies Act, 1956 during the year.

8.The company has an internal audit system during the year commensurate with the size of the company and nature of its business.

9.In my opinion and according to the information and explanations given to me, the Central Government has not prescribed any rules under clause (d) of sub-section (1) of Section 209 of the Act for the maintenance of cost records in respect of the products dealt with by the company.

10(a) According to the records of the company, there is no amount payable in respect of sale tax, income tax, customs tax or wealth tax, excise duty / cess which are outstanding as at March 31,2012 for a period of more than six months from the date they become payable.

(b) According to the records of the company, there are no dues of sale tax, income tax, customs tax or wealth tax, excise duty / cess which have not been deposited on account of any dispute.

11. The company has incurred cash losses during the financial year covered by my audit as well as in the financial year immediately preceding the financial year. The accumulated loss has not exceeded 50% of the net worth of the company.

12.Based on my audit procedures and on the information and explanations given by the management. I am of the opinion that the company has not defaulted in repayment of dues to a bank. The company does not have any debenture holders.

13.Based on my examination of documents and records, I am of the opinion that the company has not granted during the year any loans or advances on the basis of security by way of pledge of shares, debentures and other securities.

14.Based on my examination of documents and records, I am of the opinion the company is not carrying on any activity relating to chit fund, nidhi, mutual benefit fund/society, no special statute is applicable to the company.

15.Based on my examination of the records and evaluation of the related internal controls, I am of the opinion that the company is not dealing or trading in shares, securities, debentures and other investments and hence the question of maintenance of adequate records relating to the same does not arise.

16.The company has not given any guarantee for loans taken by others from bank or financial institutions.

17.The company has not raised any term loans during the year and hence the application of the funds for the purpose for which they were raised does not arise.

18.According to the information and explanations given to me and on an overall examination of the balance sheet of the company, I report that no funds raised on short-term basis have been used for long-term investment. No long-term funds have been used to finance short-term assets.

19.Based on my examination of records and the information provided to me by the management, I report that the company hast made preferential allotment of shares during the year and the same are not prejudicial to the interest of the company or its members.

20.During the period covered by my audit report, the company had not issued any debentures and hence the question of creation of any security in the respect of these debentures does not arise.

21.The company had not raised any money through public issues during the year under audit.

22.Based upon the audit procedures performed and information and explanations given by the management, I report that no fraud on or by the company has been noticed or reported during the course of my audit.

IV.Further to my comments in Para III above, I report that:

a)I have obtained all the information and explanations, which to the best of my knowledge and belief were necessary for the purpose of my audit;

b)In my opinion, proper books of account as required by law have been kept by the company so far as appears from my examination of those books.

c)The Balance Sheet, Profit and Loss Account and cash flow statement dealt with by this report are in agreement with the books of account.

d)In my opinion, the balance sheet and the profit and loss account dealt with by this report comply with the accounting standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956;

e)On the basis of written representation received from the Directors as on 31st March, 2012 and taken on record by the Board of Directors, I report that none of the Director is disqualified as on 31st March 2012 from being appointed as a director in terms of clause (g) of Section 274 of the Companies Act, 1956;